

Employing in Ireland

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Terms of Employment (Information) Acts
- **Monthly payroll** — salary payments in EUR, itemised payslips (PAYE Modernisation reporting)
- **Tax withholding** — PAYE income tax, USC and PRSI withheld and remitted to Revenue
- **MyFutureFund auto-enrolment** — new pension auto-enrolment contributions from 1 January 2026
- **Leave and termination management** — notice periods, entitlements and statutory redundancy guidance

Employment Conditions

Contracts & Probation

The Terms of Employment (Information) Acts require core terms in writing within 5 days of starting, with the full statement due within 1 month. There is no statutory minimum or maximum probation period — 6 months (extendable to 11 months in limited cases) is standard practice.

Item	Detail	Legal Basis
Day-5 core terms	Pay, hours and job title must be provided within 5 working days	Employment (Miscellaneous Provisions) Act 2018
Probation period	No statutory minimum/maximum; 6 months typical, up to 11 in limited cases	Employer discretion
MyFutureFund auto-enrolment	Began 1 January 2026 for eligible employees not already in a qualifying pension	Automatic Enrolment Retirement Savings Act 2024

Working Hours & Overtime

Rule	Detail	Authority
Maximum working week	48 hours (averaged over 4 months)	Organisation of Working Time Act 1997
Overtime premium	Not statutory — set entirely by contract/employer policy	Employer discretion
Standard full-time week	Commonly 39 hours in practice	Custom/contract

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
National Minimum Wage (20+)	€14.15/hour	Effective 1 January 2026; lower sub-rates for under-20s
Employer PRSI (Class A, ≤€552/week)	9% (rising to 9.15% from 1 Oct 2026)	Threshold rose from €527 to €552/week
Employer PRSI (Class A, >€552/week)	11.25% (rising to 11.4% from 1 Oct 2026)	No upper earnings ceiling
MyFutureFund (employer, at full phase-in)	Phasing in from 1.5% toward 6% over time	Matched employee rate; opt-out available after 6 months

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	4 working weeks/year (20 days, 5-day week)	Employer	Organisation of Working Time Act 1997
Statutory Sick Pay	Currently 5 days/year, employer-funded	Employer	Phasing up toward 10 days under the multi-year Sick Leave Act rollout
Maternity Leave	26 weeks (+16 optional unpaid)	Social Welfare (Maternity Benefit), employer top-up optional	2 weeks mandatory before, 4 weeks mandatory after birth
Paternity Leave	2 weeks	Social Welfare (Paternity Benefit)	Must be taken within 26 weeks of birth

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer PRSI (11.25%, above weekly threshold)	\$337.50	11.25%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,937.50	~131.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. MyFutureFund auto-enrolment contributions apply only to employees not already in a qualifying pension scheme, so this example assumes an existing scheme is in place. Employee deductions (withheld separately) include PAYE (20%/40%), USC and PRSI (4.2%, rising to 4.35% from Oct 2026).

Income Tax (PAYE, USC & PRSI, 2026)

Ireland layers three separate deductions on employment income: PAYE income tax, the Universal Social Charge (USC), and PRSI.

Component	Rate	Notes
PAYE — standard rate	20%	Up to €44,000 (single person) standard rate band
PAYE — higher rate	40%	Above the standard rate band
USC	0.5% – 8% progressive (2% band now up to €28,700)	Exempt for income up to €13,000/year
PRSI (Class A, employee)	4.2% (rising to 4.35% from 1 Oct 2026)	Exempt for weekly earnings ≤€352

Termination & Separation

Notice Periods (Minimum Notice & Terms of Employment Act)

Length of Service	Employer's Minimum Notice
13 weeks – 2 years	1 week
2 – 5 years	2 weeks
5 – 10 years	4 weeks
10 – 15 years	6 weeks
15+ years	8 weeks

Statutory Redundancy Payment

Basis	Formula
Statutory redundancy	2 weeks' pay per year of service + 1 additional week, capped at a weekly pay of €600

★ HERO TIP

Ireland's statutory redundancy formula is capped at a weekly pay of €600, so for higher earners it covers only a fraction of actual salary — many employers pay enhanced ex gratia redundancy on top of the statutory minimum as market practice. Confirm the expected total package with your HeroForce EOR before quoting redundancy terms to a client.

Public Holidays 2026

Ireland observes 10 public holidays in 2026, mostly fixed to specific Mondays rather than calendar dates.

Date	Holiday	Type
1 January	New Year's Day	National
~2 February	St. Brigid's Day (first Monday in February)	National
17 March	St. Patrick's Day	National
6 April	Easter Monday	National
~4 May	May Day (first Monday in May)	National
~1 June	June Bank Holiday (first Monday in June)	National
~3 August	August Bank Holiday (first Monday in August)	National
~26 October	October Bank Holiday (last Monday in October)	National
25 December	Christmas Day	National
26 December	St. Stephen's Day	National

Ready to hire in Ireland?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Ireland employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).